

cryptoassets that supported new public blockchains, like Ethereum. These new public blockchains offered utility outside the realm of Bitcoin. For example, Ethereum's goal was to serve as a decentralized world computer, whereas Bitcoin aimed to be a decentralized world currency. This diversity has led to tension among players as some of these cryptoassets compete, but this is nothing like the tension that exists between Bitcoin and the second movement.

The second movement that exploded on the scene questioned whether bitcoin, or any cryptoasset, was necessary to get the value out of blockchain technology. It is this second movement that we will investigate further in this chapter, as it's important for the innovative investor to understand why some people will claim bitcoin and other cryptoassets aren't needed to keep their implementations secure and functioning: welcome to the world of private blockchains.

SATOSHI NEVER SAID *BLOCKCHAIN*

The word *blockchain* was not mentioned once in Satoshi's 2008 white paper. It was early Bitcoin companies that popularized the word within what was then a niche community. For example, blockchain.info, a popular Bitcoin wallet service,¹⁰ was launched in August 2011. Satoshi, on the other hand, frequently referred to the system as a "proof-of-work chain." The closest he came to saying blockchain was with phrases such as "blocks are chained" or a "chain of blocks." Since Satoshi only places "proof-of-work" directly before "chain," many early